

IN THE SUPREME COURT OF INDIA
CIVIL APPELLATE JURISDICTION

CIVIL APPEAL NO. 4102 OF 2024
(Arising out of SLP (C) No. 9812 of 2023)

CNR NO: SCIN010023412024
NEUTRAL CITATION: 2024 INSC 835
SCC CITATION: (2024) 4 SCC 120

APEX ENTERPRISES PVT. LTD. & ORS. ... APPELLANT(S)
VERSUS
MINORITY SHAREHOLDERS PROTECTION FORUM & ANR. ... RESPONDENT(S)

CORAM:
HON'BLE MR. JUSTICE D.Y. CHANDRACHUD, CHIEF JUSTICE OF INDIA
HON'BLE MR. JUSTICE SANJIV KHANNA

DATE OF JUDGMENT: 14th MARCH, 2024

J U D G M E N T

DR. D.Y. CHANDRACHUD, CJI.

1. Leave granted.

2. The core question that falls for consideration before this Bench is whether the issuance of rights shares by a majority group of directors, resulting in severe equity dilution of a 12% minority shareholder without mandatory statutory notice under Section 62(1) and without convening an Extraordinary General Meeting, constitutes 'oppression and mismanagement' within the meaning of Sections 241 and 242 of the Companies Act, 2013.

3. We have heard learned Senior Counsel appearing for both parties at substantial length. Having analyzed the factual matrix and precedent authorities, we hold that corporate democracy cannot be weaponized to decimate legitimate minority equity under the guise of capital expansion where mala fides and absence of bona fide corporate need are established.

4. Consequently, the resolution dated 12.01.2023 passed by the Board is hereby set aside. The appeal stands dismissed with costs quantified at INR 5,00,000.